

Clark County, Arkansas

Financial and Compliance Report

December 31, 2017

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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FOR THE YEAR ENDED DECEMBER 31, 2017

Financial and Compliance Report

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Arkansas



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Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

Financial and Compliance Report

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

A priority of Arkansas Legislative Audit is to assist county government officials by promoting sound financial management and accountability of government resources. The Legislative Auditor reports on the fiscal affairs of county governments, as well as compliance with relevant state laws and observance of good business practices to provide accountability for tax dollars expended to support government operations.

We have performed certain limited procedures with respect to regulatory basis financial information and compliance with certain state laws and accepted accounting practices for Clark County, Arkansas, as of and for the year ended December 31, 2017, and have issued our report thereon dated March 21, 2019. Management of the County is responsible for maintaining the financial records and complying with state laws and accepted accounting practices.

The findings contained in this section relate to the following officials who held office during 2017:

County Judge: Troy Tucker
Treasurer: Sandy Jester
Sheriff and Tax Collector: Jason Watson
County Clerk: Rhonda Cole
Circuit Clerk: Martha Smith
Assessor: Jamie Hammond
County Librarian: Ashley Graves

We evaluated the County's compliance with certain state laws concerning general accounting, budgeting, purchasing, and investing and depositing of public funds.

Our procedures indicated that the offices of **County Judge, Treasurer, Tax Collector, County Clerk, Circuit Clerk, Assessor, and County Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the office of **Sheriff**.

Sheriff

Prenumbered checks were not used for drug enforcement fund disbursements to designated officer for cash on hand, in noncompliance with Ark. Code Ann. § 14-21- 204. A similar finding was noted for the previous three reports dating back to 2014.

The Sheriff's office was not in substantial compliance with Ark. Code Ann. §§ 14-25-107, -112, in that the Commissary account was not properly reconciled to the journal for receipts and ending balance. Additionally, ending cash balances were not identified with inmate account balances. A similar finding was noted for the previous four reports dating back to 2013.

The Sheriff's office did not pay over to the county treasurer on the first of each month, or within ten working days thereafter all funds belonging to the county from the commissary account, in noncompliance with Ark. Code Ann. § 26-39-201. A similar finding was noted for the previous two reports dating back to 2015.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in cursive script, appearing to read "Roger A. Norman".

Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

Little Rock, Arkansas
March 21, 2019
LOCO01017

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2017
(UNAUDITED)

Exhibit A

	General	Road	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 2,995,487	\$ 4,517,570	\$ 4,183,430
Accounts receivable	590,847	150,884	252,031
	<u> </u>	<u> </u>	<u> </u>
TOTAL ASSETS	<u><u>\$ 3,586,334</u></u>	<u><u>\$ 4,668,454</u></u>	<u><u>\$ 4,435,461</u></u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 62,823	\$ 99,815	\$ 57,126
Settlements pending	340	55	1,179,923
Total Liabilities	<u>63,163</u>	<u>99,870</u>	<u>1,237,049</u>
Fund Balances:			
Restricted	835	4,568,584	2,689,303
Committed	269,619		454,129
Assigned	848,273		54,980
Unassigned	2,404,444		
Total Fund Balances	<u>3,523,171</u>	<u>4,568,584</u>	<u>3,198,412</u>
	<u> </u>	<u> </u>	<u> </u>
TOTAL LIABILITIES AND FUND BALANCES	<u><u>\$ 3,586,334</u></u>	<u><u>\$ 4,668,454</u></u>	<u><u>\$ 4,435,461</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2017
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 767,234	\$ 1,481,065	\$ 116,405
Federal aid	63,705	10,931	47,090
Property taxes	944,458	211,975	512,273
Sales taxes	1,637,264	1,479,835	1,605,778
Fines, forfeitures, and costs	516,137		204,020
Interest	16,013	27,341	16,252
Officers' fees	75,806		129,737
Sanitation fees	390,446		
911 surcharges			266,997
Prisoner care	104,494		
Phone commissions and commissary			18,232
Treasurer's commission	133,406		21,657
Collector's commission	159,838		56,853
Taxes apportioned - Assessor's salary and expense	360,484		
Other	454,324	60,006	37,617
TOTAL REVENUES	5,623,609	3,271,153	3,032,911
Less: Treasurer's commission	57,502	46,220	16,837
NET REVENUES	5,566,107	3,224,933	3,016,074
EXPENDITURES			
Current:			
General government	1,783,784		174,044
Law enforcement	2,733,850		635,785
Highways and streets		3,268,126	
Public safety	50,394		210,293
Sanitation	706,927		
Health	67,308		
Recreation and culture	16,114		345,666
Social services	103,869		
TOTAL EXPENDITURES	5,462,246	3,268,126	1,365,788

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2017
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ 103,861</u>	<u>\$ (43,193)</u>	<u>\$ 1,650,286</u>
OTHER FINANCING SOURCES (USES)			
Transfers in		17,649	65,329
Transfers out	(75,028)		(7,950)
Sales taxes remitted to Economic Development Corporation	<u> </u>	<u> </u>	<u>(1,576,248)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>(75,028)</u>	<u>17,649</u>	<u>(1,518,869)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	28,833	(25,544)	131,417
FUND BALANCES - JANUARY 1	<u>3,494,338</u>	<u>4,594,128</u>	<u>3,066,995</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 3,523,171</u></u>	<u><u>\$ 4,568,584</u></u>	<u><u>\$ 3,198,412</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2017
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 588,495	\$ 767,234	\$ 178,739	\$ 1,242,900	\$ 1,481,065	\$ 238,165
Federal aid	63,000	63,705	705	13,680	10,931	(2,749)
Property taxes	822,100	944,458	122,358	169,200	211,975	42,775
Sales taxes	1,550,000	1,637,264	87,264	1,260,000	1,479,835	219,835
Fines, forfeitures, and costs	260,550	516,137	255,587			
Interest	13,800	16,013	2,213	18,000	27,341	9,341
Officers' fees	40,000	75,806	35,806			
Sanitation fees	374,200	390,446	16,246			
Prisoner care	51,000	104,494	53,494			
Treasurer's commission	125,000	133,406	8,406			
Collector's commission	150,000	159,838	9,838			
Taxes apportioned - Assessor's salary and expense	300,000	360,484	60,484			
Other	410,457	454,324	43,867	63,847	60,006	(3,841)
TOTAL REVENUES	4,748,602	5,623,609	875,007	2,767,627	3,271,153	503,526
Less: Treasurer's commission		57,502	(57,502)		46,220	(46,220)
NET REVENUES	4,748,602	5,566,107	817,505	2,767,627	3,224,933	457,306
EXPENDITURES						
Current:						
General government	2,010,413	1,783,784	226,629			
Law enforcement	2,909,938	2,733,850	176,088			
Highways and streets				4,420,842	3,268,126	1,152,716
Public safety	57,430	50,394	7,036			
Sanitation	948,397	706,927	241,470			
Health	71,795	67,308	4,487			
Recreation and culture	18,500	16,114	2,386			
Social services	115,420	103,869	11,551			
TOTAL EXPENDITURES	6,131,893	5,462,246	669,647	4,420,842	3,268,126	1,152,716

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2017
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (1,383,291)</u>	<u>\$ 103,861</u>	<u>\$ 1,487,152</u>	<u>\$ (1,653,215)</u>	<u>\$ (43,193)</u>	<u>\$ 1,610,022</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	38,500		(38,500)		17,649	17,649
Transfers out	<u>(45,000)</u>	<u>(75,028)</u>	<u>(30,028)</u>			
TOTAL OTHER FINANCING SOURCES (USES)	<u>(6,500)</u>	<u>(75,028)</u>	<u>(68,528)</u>		<u>17,649</u>	<u>17,649</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(1,389,791)	28,833	1,418,624	(1,653,215)	(25,544)	1,627,671
FUND BALANCES - JANUARY 1	<u>2,500,000</u>	<u>3,494,338</u>	<u>994,338</u>	<u>3,150,000</u>	<u>4,594,128</u>	<u>1,444,128</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 1,110,209</u></u>	<u><u>\$ 3,523,171</u></u>	<u><u>\$ 2,412,962</u></u>	<u><u>\$ 1,496,785</u></u>	<u><u>\$ 4,568,584</u></u>	<u><u>\$ 3,071,799</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2017
 (UNAUDITED)

Schedule 1

SPECIAL REVENUE FUNDS

	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library	Support Collection Costs
ASSETS									
Cash	\$ 43,397	\$ 350,964	\$ 2,929	\$ 59,433	\$ 34,486	\$ 14,232	\$ 61,357	\$ 158,484	\$ 19,728
Accounts receivable	2,071	56,865	348	1,281	25	928	8,277	10,395	53
TOTAL ASSETS	<u>\$ 45,468</u>	<u>\$ 407,829</u>	<u>\$ 3,277</u>	<u>\$ 60,714</u>	<u>\$ 34,511</u>	<u>\$ 15,160</u>	<u>\$ 69,634</u>	<u>\$ 168,879</u>	<u>\$ 19,781</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable				\$ 304			\$ 3,310	\$ 4,040	
Settlements pending								66	
Total Liabilities				<u>304</u>			<u>3,310</u>	<u>4,106</u>	
Fund Balances:									
Restricted	\$ 45,468	\$ 407,829	\$ 3,277	60,410	\$ 34,511	\$ 15,160	66,324	143,759	\$ 19,781
Committed									
Assigned								21,014	
Total Fund Balances	<u>45,468</u>	<u>407,829</u>	<u>3,277</u>	<u>60,410</u>	<u>34,511</u>	<u>15,160</u>	<u>66,324</u>	<u>164,773</u>	<u>19,781</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 45,468</u>	<u>\$ 407,829</u>	<u>\$ 3,277</u>	<u>\$ 60,714</u>	<u>\$ 34,511</u>	<u>\$ 15,160</u>	<u>\$ 69,634</u>	<u>\$ 168,879</u>	<u>\$ 19,781</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2017
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS								
				CMRS 911 Board (Commercial Mobile Radio Service)					
	Breathalyzer	District Court Jail Fee	Boating Safety		Victim/Witness	Public Defender	Drug Court	Juvenile Probation	Voting System Grant
ASSETS									
Cash	\$ 10,725	\$ 149,415	\$ 12,583	\$ 1,079,462	\$ 32,065	\$ 319,533	\$ 5,362	\$ 12,544	\$ 12
Accounts receivable	125	8,470	13	6,774	4,576	2,823	152		
TOTAL ASSETS	<u>\$ 10,850</u>	<u>\$ 157,885</u>	<u>\$ 12,596</u>	<u>\$ 1,086,236</u>	<u>\$ 36,641</u>	<u>\$ 322,356</u>	<u>\$ 5,514</u>	<u>\$ 12,544</u>	<u>\$ 12</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 180	\$ 4,604	\$ 642	\$ 8,355		\$ 388	\$ 519	\$ 50	
Settlements pending									
Total Liabilities	<u>180</u>	<u>4,604</u>	<u>642</u>	<u>8,355</u>		<u>388</u>	<u>519</u>	<u>50</u>	
Fund Balances:									
Restricted	10,670	119,315	11,954	1,077,881	\$ 36,641	321,968	4,995	12,494	\$ 12
Committed									
Assigned		33,966		-					
Total Fund Balances	<u>10,670</u>	<u>153,281</u>	<u>11,954</u>	<u>1,077,881</u>	<u>36,641</u>	<u>321,968</u>	<u>4,995</u>	<u>12,494</u>	<u>12</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 10,850</u>	<u>\$ 157,885</u>	<u>\$ 12,596</u>	<u>\$ 1,086,236</u>	<u>\$ 36,641</u>	<u>\$ 322,356</u>	<u>\$ 5,514</u>	<u>\$ 12,544</u>	<u>\$ 12</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2017
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS								
	Circuit Clerk Commissioner's Fee	Clark County Marina	Jail Maintenance	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services	Public Safety	Drug Enforcement	Rural Fire Departments	Communication Facility and Equipment
ASSETS									
Cash	\$ 4,132	\$ 33,422	\$ 139,643		\$ 49,249	\$ 1,209	\$ 3,807		\$ 52,202
Accounts receivable	629	1,935	10,392	\$ 133,057		1		\$ 2,841	
TOTAL ASSETS	<u>\$ 4,761</u>	<u>\$ 35,357</u>	<u>\$ 150,035</u>	<u>\$ 133,057</u>	<u>\$ 49,249</u>	<u>\$ 1,210</u>	<u>\$ 3,807</u>	<u>\$ 2,841</u>	<u>\$ 52,202</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable			\$ 34,734						
Settlements pending			68						
Total Liabilities			<u>34,802</u>						
Fund Balances:									
Restricted	\$ 4,761	\$ 35,357		\$ 133,057	\$ 49,249	\$ 1,210	\$ 3,807	\$ 2,841	\$ 52,202
Committed			115,233						
Assigned									
Total Fund Balances	<u>4,761</u>	<u>35,357</u>	<u>115,233</u>	<u>133,057</u>	<u>49,249</u>	<u>1,210</u>	<u>3,807</u>	<u>2,841</u>	<u>52,202</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 4,761</u>	<u>\$ 35,357</u>	<u>\$ 150,035</u>	<u>\$ 133,057</u>	<u>\$ 49,249</u>	<u>\$ 1,210</u>	<u>\$ 3,807</u>	<u>\$ 2,841</u>	<u>\$ 52,202</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2017
(UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS		CAPITAL PROJECTS FUND	AGENCY FUNDS						
	DeGray Fire Department Grant	Assessor's Late Fee	Jail Construction	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Accounts	Totals
ASSETS										
Cash	\$ 13,847	\$ 523	\$ 338,896	\$ 776,177	\$ 112,867	\$ 30,400	\$ 126,790	\$ 102,368	\$ 31,187	\$ 4,183,430
Accounts receivable										252,031
TOTAL ASSETS	\$ 13,847	\$ 523	\$ 338,896	\$ 776,177	\$ 112,867	\$ 30,400	\$ 126,790	\$ 102,368	\$ 31,187	\$ 4,435,461
LIABILITIES AND FUND BALANCES										
Liabilities:										
Accounts payable										\$ 57,126
Settlements pending				\$ 776,177	\$ 112,867	\$ 30,400	\$ 126,790	\$ 102,368	\$ 31,187	1,179,923
Total Liabilities				776,177	112,867	30,400	126,790	102,368	31,187	1,237,049
Fund Balances:										
Restricted	\$ 13,847	\$ 523								2,689,303
Committed			\$ 338,896							454,129
Assigned										54,980
Total Fund Balances	13,847	523	338,896							3,198,412
TOTAL LIABILITIES AND FUND BALANCES	\$ 13,847	\$ 523	\$ 338,896	\$ 776,177	\$ 112,867	\$ 30,400	\$ 126,790	\$ 102,368	\$ 31,187	\$ 4,435,461

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2017
(UNAUDITED)

Schedule 2

SPECIAL REVENUE FUNDS

	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library	Support Collection Costs
REVENUES									
State aid				\$ 6,666	\$ 4,257			\$ 51,090	
Federal aid				13,691					
Property taxes								252,832	
Sales taxes									
Fines, forfeitures, and costs			\$ 4,337	13,228					
Interest	\$ 217	\$ 2,136	26	315	211	\$ 55 12,472	\$ 361 109,988	693	\$ 117 2,810
Officers' fees									
911 surcharges									
Phone commissions and commissary									
Treasurer's commission	21,657								
Collector's commission		56,853							
Other				9			5,877	10,663	
TOTAL REVENUES	21,874	58,989	4,363	33,909	4,468	12,527	116,226	315,278	2,927
Less: Treasurer's commission	3	31	63	195	64	183	1,668	3,941	43
NET REVENUES	21,871	58,958	4,300	33,714	4,404	12,344	114,558	311,337	2,884
EXPENDITURES									
Current:									
General government	17,826	22,364				11,033	91,721		
Law enforcement			4,942	21,116					
Public safety									
Recreation and culture								334,566	
TOTAL EXPENDITURES	17,826	22,364	4,942	21,116		11,033	91,721	334,566	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	4,045	36,594	(642)	12,598	4,404	1,311	22,837	(23,229)	2,884
OTHER FINANCING SOURCES (USES)									
Transfers in							7,950		
Transfers out									
Sales taxes remitted to Economic Development Corporation									
TOTAL OTHER FINANCING SOURCES (USES)							7,950		
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	4,045	36,594	(642)	12,598	4,404	1,311	30,787	(23,229)	2,884
FUND BALANCES - JANUARY 1	41,423	371,235	3,919	47,812	30,107	13,849	35,537	188,002	16,897
FUND BALANCES - DECEMBER 31	\$ 45,468	\$ 407,829	\$ 3,277	\$ 60,410	\$ 34,511	\$ 15,160	\$ 66,324	\$ 164,773	\$ 19,781

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2017
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS								
	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court	Juvenile Probation	Voting System Grant
REVENUES									
State aid			\$ 2,117			\$ 2,172	\$ 4,500		
Federal aid									
Property taxes									
Sales taxes									
Fines, forfeitures, and costs	\$ 1,397	\$ 98,099			\$ 51,137	31,923	2,905		
Interest	67	718	143	\$ 6,214	171	1,908	50	\$ 47	
Officers' fees									
911 surcharges				266,997					
Phone commissions and commissary									
Treasurer's commission									
Collector's commission									
Other									
TOTAL REVENUES	1,464	98,817	2,260	273,211	51,308	36,003	7,455	47	
Less: Treasurer's commission	22	1,355	32	3,265	703	471	41	1	
NET REVENUES	1,442	97,462	2,228	269,946	50,605	35,532	7,414	46	
EXPENDITURES									
Current:									
General government									
Law enforcement	1,980	42,019	20,688		45,977	20,981	10,600	6,893	
Public safety				142,510					
Recreation and culture									
TOTAL EXPENDITURES	1,980	42,019	20,688	142,510	45,977	20,981	10,600	6,893	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(538)	55,443	(18,460)	127,436	4,628	14,551	(3,186)	(6,847)	
OTHER FINANCING SOURCES (USES)									
Transfers in								16,000	
Transfers out									
Sales taxes remitted to Economic Development Corporation									
TOTAL OTHER FINANCING SOURCES (USES)								16,000	
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(538)	55,443	(18,460)	127,436	4,628	14,551	(3,186)	9,153	
FUND BALANCES - JANUARY 1	11,208	97,838	30,414	950,445	32,013	307,417	8,181	3,341	\$ 12
FUND BALANCES - DECEMBER 31	\$ 10,670	\$ 153,281	\$ 11,954	\$ 1,077,881	\$ 36,641	\$ 321,968	\$ 4,995	\$ 12,494	\$ 12

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2017
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS						
	Circuit Clerk Commissioner's Fee	Clark County Marina	Jail Maintenance	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services	Antoine Hardwoods	Public Safety
REVENUES							Drug Enforcement
State aid			\$ 28,799		\$ 2,957		
Federal aid					26,250	\$ 7,149	
Property taxes			258,918				
Sales taxes				\$ 1,574,292			
Fines, forfeitures, and costs	\$ 838						\$ 156
Interest	19	\$ 175	464		285		7
Officers' fees							
911 surcharges							
Phone commissions and commissary							
Treasurer's commission							
Collector's commission							
Other		20,507	146				
TOTAL REVENUES	857	20,682	288,327	1,574,292	29,492	7,149	163
Less: Treasurer's commission	2	289	4,012				2
NET REVENUES	855	20,393	284,315	1,574,292	29,492	7,149	161
EXPENDITURES							
Current:							
General government						7,150	
Law enforcement			313,412				\$ 1,700
Public safety					29,207		
Recreation and culture		11,100					
TOTAL EXPENDITURES		11,100	313,412		29,207	7,150	1,700
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	855	9,293	(29,097)	1,574,292	285	(1)	161
OTHER FINANCING SOURCES (USES)							
Transfers in	1,379		40,000				
Transfers out							
Sales taxes remitted to Economic Development Corporation				(1,576,248)			
TOTAL OTHER FINANCING SOURCES (USES)	1,379		40,000	(1,576,248)			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	2,234	9,293	10,903	(1,956)	285	(1)	161
FUND BALANCES - JANUARY 1	2,527	26,064	104,330	135,013	48,964	1	5,507
FUND BALANCES - DECEMBER 31	\$ 4,761	\$ 35,357	\$ 115,233	\$ 133,057	\$ 49,249	\$ 0	\$ 3,807

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2017
(UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS					CAPITAL PROJECTS FUND	
	Rural Fire Departments	Automated Records Systems Grant	Communication Facility and Equipment	DeGray Fire Department Grant	Assessor's Late Fee	Jail Construction	Totals
REVENUES							
State aid				\$ 13,847			\$ 116,405
Federal aid							47,090
Property taxes					\$ 523		512,273
Sales taxes	\$ 31,486						1,605,778
Fines, forfeitures, and costs							204,020
Interest			\$ 63			\$ 1,790	16,252
Officers' fees			4,467				129,737
911 surcharges							266,997
Phone commissions and commissary			18,232				18,232
Treasurer's commission							21,657
Collector's commission							56,853
Other			415				37,617
TOTAL REVENUES	31,486		23,177	13,847	523	1,790	3,032,911
Less: Treasurer's commission	451						16,837
NET REVENUES	31,035		23,177	13,847	523	1,790	3,016,074
EXPENDITURES							
Current:							
General government		\$ 23,950					174,044
Law enforcement			6,183			139,294	635,785
Public safety	31,076			7,500			210,293
Recreation and culture							345,666
TOTAL EXPENDITURES	31,076	23,950	6,183	7,500		139,294	1,365,788
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(41)	(23,950)	16,994	6,347	523	(137,504)	1,650,286
OTHER FINANCING SOURCES (USES)							
Transfers in							65,329
Transfers out		(7,950)					(7,950)
Sales taxes remitted to Economic Development Corporation							(1,576,248)
TOTAL OTHER FINANCING SOURCES (USES)		(7,950)					(1,518,869)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(41)	(31,900)	16,994	6,347	523	(137,504)	131,417
FUND BALANCES - JANUARY 1	2,882	31,900	35,208	7,500		476,400	3,066,995
FUND BALANCES - DECEMBER 31	\$ 2,841	\$ 0	\$ 52,202	\$ 13,847	\$ 523	\$ 338,896	\$ 3,198,412

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2017
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated accounting and record keeping system.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive Circuit Court installment fees to be used for Circuit Court-related technology and to defray the cost of fine collection.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees to be used solely for District Court-related technology.
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that 1% of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the costs of administering Ark. Const. amend. 79.
County Clerk's Cost	Ark. Code Ann. §§ 21-6-413, 16-20-407 established fund to receive at least 35% of fees collected by county clerks to be used to purchase, maintain, and operate an automated records system, and to account for a \$2 marriage license fee to be used for operation of the County Clerk's office.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive at least 25% of the fees collected by circuit clerks to be used to purchase, maintain, and operate automated records system.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for property tax millage levied by the Quorum Court for the support, operation, and maintenance of the public library.
Support Collection Costs	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. Clark County Ordinance no. 2009-2 (June 9, 2009) (pursuant to Ark. Code Ann. § 16-17-129) levies an additional fine, not exceed \$20. Funds shall be used exclusively to defray the cost of incarcerating county prisoners; construction, maintenance, and operation of the county jail; purchase and maintenance of jail equipment; and training, salaries, and certificate pay for jailers and deputy sheriffs.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2017
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
CMRS 911 Board (Commercial Mobile Radio Service)	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by commercial mobile radio service providers for 911 emergency services.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court costs levied to be used by Prosecuting Attorney for operating victim/witness program.
Public Defender	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents. Ark. Code Ann. § 17-19-301 authorized a bail bond fee of \$20 to be collected, which shall all be remitted to the Arkansas Public Defender Commission. Three dollars of each fee is remitted back to the county quarterly to be used to defray the operating expenses of the public defender office.
Drug Court	Ark. Code Ann. § 16-98-304 established fund to receive program user fees set by Drug Court Judges to be used for the benefit and administration of the Drug Court program.
Juvenile Probation	Ark. Code Ann. §§ 16-13-326, 9-27-367 established fund to receive juvenile fees, court costs, and fines to provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Voting System Grant	Ark. Code Ann. § 19-5-1247 and Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive grants from the County Voting System Grant Fund to purchase voting system equipment, programming and maintenance.
Circuit Clerk Commissioner's Fee	Ark. Code Ann. § 21-6-412 established fund to receive fee awarded, when appointed as Commissioner, for a sale of real or personal property under judicial decree. The funds are to be used to offset administrative costs associated with the performance of the Commissioner's duties and for general operations expenses of the office of Circuit Clerk.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Economic Development Corporation of Clark County (EDCCC)	Established to receive and remit a one-half cent sales and use tax to EDCCC to be used solely for economic development. The sales tax was approved by voters on June 12, 2007, for a period of seven years, and subsequently, on March 11, 2014, for an additional seven year period.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2017
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Antoine Hardwoods	Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive Arkansas Economic Development Commission grant funding for site improvements of Antoine Hardwoods, industrial manufacturer in Clark County.
Public Safety	Ark. Code Ann. § 27-34-108 established fund to receive 25% of the District Court fines collected for violations of the Child Passenger Protection Act to be used solely for promotion of public safety.
Drug Enforcement	Ark. Code Ann. § 14-21-201 established fund for direct expenses associated with the investigation of the criminal drug laws. Source of all funds shall be appropriated by the quorum court.
Rural Fire Departments	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive 1% of the proceeds from the 1% county wide sales tax through a special election and to distribute the funds equally among the rural fire departments of Clark County.
Automated Records Systems Grant	Clark County Ordinance no. 2014-10 (November 14, 2014) established fund to receive funding from the Automated Records Systems Fund Program managed by the Association of Arkansas Counties for hardware and software purchases to upgrade and enhance the county's automated records system.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.
DeGray Fire Department Grant	DeGray Fire Department received a grant through the County from the Arkansas Rural Development Commission, and the Arkansas Economic Development Commission Division of Rural Services for public safety expenditures.
Assessor's Late Fee	Ark. Code Ann. § 26-26-201 established fund to receive additional fifty cents for each delinquent list and utilized by the county assessor to help pay for the expense of assessing property.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.

Treasurer's accounts consist primarily of commissions and property taxes not yet distributed to appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees settlement, bond, evidence, and inmate trust money.

County Clerk's accounts consist primarily of fee money to be settled with Treasurer.

Circuit Clerk's accounts consist of trust money and settlements due to Treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2017
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1. A. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Ark. Code Ann. § 10-4-412. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Road Fund - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Special Revenue Funds presented on Schedules 1 and 2 are reported with other funds in the aggregate.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlay, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund presented on Schedules 1 and 2 is reported with other funds in the aggregate.

Agency Funds - Agency Funds are used to report resources held by the reporting government in a purely custodial capacity (assets equal liabilities). The Agency Funds presented on Schedule 1 are reported with other funds in the aggregate.

B. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Ark. Code Ann. § 10-4-412. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues generally are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. However, most state aid received from the State Treasury is by state law revenue of the year in which it was received by the government. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2017
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1. (Continued)

C. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts, and certificates of deposit.

Settlements Pending

Settlements pending are considered fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

D. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

E. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other operating funds.

CLARK COUNTY, ARKANSAS
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1. (Continued)

F. Fund Balance Classification Policies and Procedures

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

For classification of fund balance amounts, restricted resources are considered spent before unrestricted. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

2. **Details of Fund Balance Classifications**

Fund balance classifications at December 31, 2017, are composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Fund Balances:			
Restricted for:			
General government			\$ 727,426
Law enforcement			637,733
Highways and streets		\$ 4,568,584	
Public safety			1,145,028
Recreation and culture	\$ 835		179,116
Total Restricted	<u>835</u>	<u>4,568,584</u>	<u>2,689,303</u>
Committed for:			
General government	269,619		
Law enforcement			115,233
Capital outlay			338,896
Total Committed	<u>269,619</u>		<u>454,129</u>
Assigned to:			
Law enforcement			33,966
Sanitation	848,273		
Recreation and culture			21,014
Total Assigned	<u>848,273</u>		<u>54,980</u>
Unassigned	<u>2,404,444</u>		
Totals	<u>\$ 3,523,171</u>	<u>\$ 4,568,584</u>	<u>\$ 3,198,412</u>

CLARK COUNTY, ARKANSAS
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3. **Commitments**

Total commitments consist of the following at December 31, 2017:

	December 31, 2017
Long-term liabilities	\$ 724,399
Reappraisal contract	494,400
Total Commitments	<u>\$ 1,218,799</u>

Long-term Liabilities

Long-term liabilities at December 31, 2017, are comprised of the following:

	December 31, 2017
Landfill closure and post closure care costs	\$ 697,584
Compensated absences	26,815
Total Long-term liabilities	<u>\$ 724,399</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Cost

Clark County is the owner of permit #044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs have been recognized as a commitment each year based on landfill capacity used as of the balance sheet date.

The estimated commitment for the landfill closure and postclosure care costs is \$697,584 as of December 31, 2017, and represents the cumulative amount reported to date of \$582,279 based on 83% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$115,305 as the remaining estimated capacity is filled. The area has an estimated remaining volume of 47,736 cubic yards which is estimated to exhaust six years from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2017. However, the actual costs of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated April 11, 2017, in the amount of \$396,747 and in accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$319,867 in the form of a Contract of Obligation dated April 13, 2017. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$319,867 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly close the disposal operation.

CLARK COUNTY, ARKANSAS
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3. Commitments (Continued)

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

Reappraisal Contract

The County entered into a contract dated September 25, 2015, with Total Assessment Solutions Corporation for reappraisal services. The terms of the contract require \$824,000 to be paid in 60 monthly installments of \$13,733 beginning January 15, 2016. Contract expense for 2017 was \$164,800.

The County is obligated for the following amounts at December 31, 2017:

<u>Year</u>	<u>December 31, 2017</u>
2018	\$ 164,800
2019	164,800
2020	<u>164,800</u>
Total	<u>\$ 494,400</u>

4. Interfund Transfers

The General Fund transferred \$17,649 to Road Fund and \$57,379 to the Other Funds in the Aggregate (Circuit Clerk Commissioner's Fee, Juvenile Probation, and Jail Maintenance) for operating purposes. Additionally, within the Other Funds in the Aggregate, the Automated Records System Grant Fund transferred \$7,950 to the County Recorder's Costs Fund for reimbursement of a prior year expenditure made in error.

5. Related Party Transactions

The County paid Southwest Probation Services \$21,627 for probation services in 2017. Sheriff's part-time deputy, Brady Harmon, owns Southwest Probation Services. On May 11, 2015, the County established Clark County Ordinance no. 2015-04 authorizing payment of services to Southwest Probation Services.

The County paid Clark County District Court Judge Randy Hill \$10,200 to rent office space for the Public Defender in 2017. On October 15, 2013, the County established Clark County Ordinance no. 2013-10 authorizing a lease agreement between the Public Defender and Clark County District Court Judge Randy Hill.

6. Jointly Governed Organizations

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

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6. Jointly Governed Organizations (Continued)

A. Reuse Committee (Continued)

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Group "6" Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth (East) Judicial Districts, the Sheriffs' Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. The agreement covers the period July 1, 2017 to June 30, 2018, and may be extended upon written mutual agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2017. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

C. Southwest Arkansas Regional Intermodal Authority

Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, and Amity entered into an agreement on May 18, 2010, to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of eighteen members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. No payments were made by the County to the Southwest Regional Intermodal Authority other than the annual membership dues of \$2,000. Separate financial statements for the Southwest Arkansas Regional Intermodal Authority are not available.

D. Southwest Central Regional Solid Waste Management District

Pursuant to Act 752 of the Acts of Arkansas of 1991, the Southwest Central Regional Solid Waste Management District and Board were organized to protect public health and environmental quality for its service area by establishing a regional solid waste management system in the Arkansas Counties of Clark, Garland, and Hot Spring. The District's board of directors is composed in accordance with the requirements of the Act and is comprised of representatives of the counties in the District and representatives of all first class cities, of all cities with a population over 2,000 and of the largest city of each county in the District. The County made no contributions to or disbursements on behalf of the District in 2017. The District paid Clark County \$10,080 for landfill services in 2017. All financial transactions are between the District and the Hot Spring County Solid Waste Authority, Inc. Separate financial statements of the Southwest Central Regional Solid Waste Management District are available at 1000 Central Avenue, Hot Springs, AR, 71903.8

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7. Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (APERS), a cost-sharing multiple-employer defined benefit pension plan. APERS, administered by a Board of Trustees, provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for APERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, 124 W. Capitol, Suite 400, Little Rock, Arkansas 72201, by calling 1-800-682-7377, or on their website www.apers.org.

Funding Policy

APERS has contributory and non-contributory plans. Contributory members are required by State law to contribute 5% of their salary. Each participating employer is required by State law to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation. The County's contributions to the plan for the year ended June 30, 2017 were \$490,391.

Net Pension Liability

The County's proportionate share of the collective net pension liability at June 30, 2017 was \$4,849,111.

8. Economic Development Corporation of Clark County, Arkansas

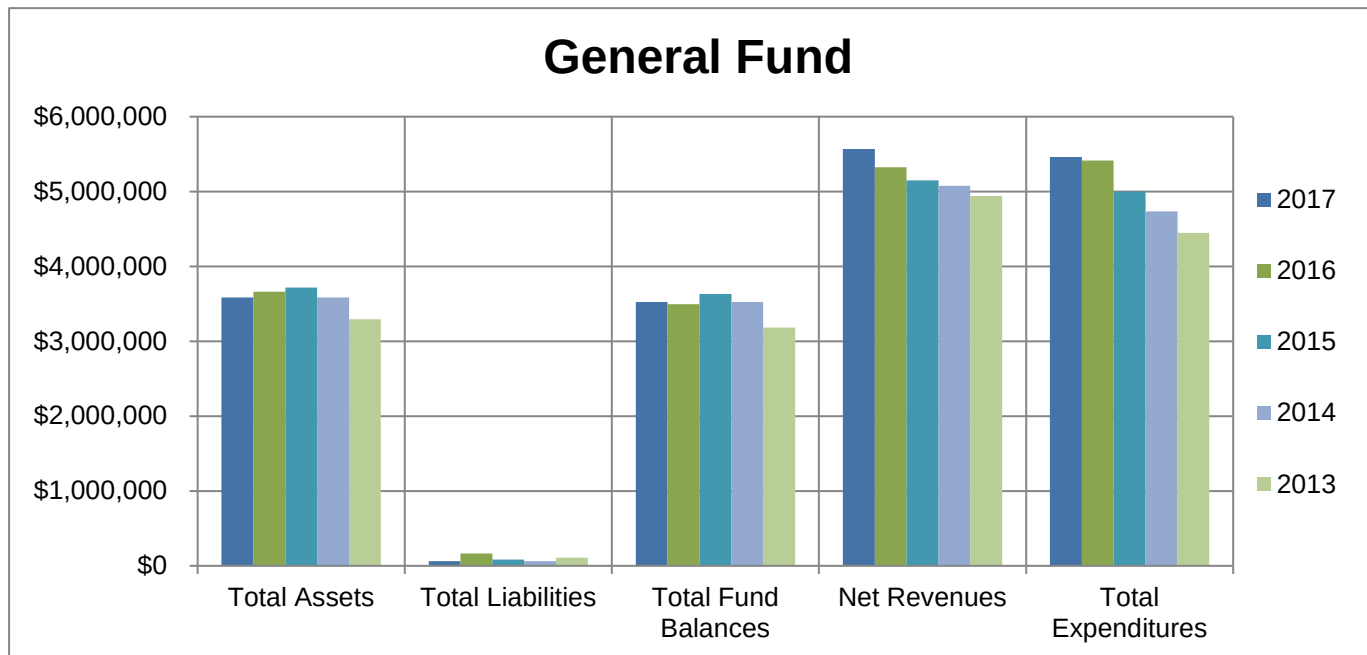
The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development, and subsequently, on March 11, 2014, for an additional seven year period. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,576,248 in 2017. Separate financial statements of the EDCCC are available at the Clark County Judge's Office, 401 Clay Street Arkadelphia, AR 71923.

9. Capital Assets

	December 31, 2017
Land	\$ 638,274
Buildings	6,671,146
Infrastructure	169,741
Improvements	207,472
Equipment	<u>9,481,208</u>
Total	<u>\$17,167,841</u>

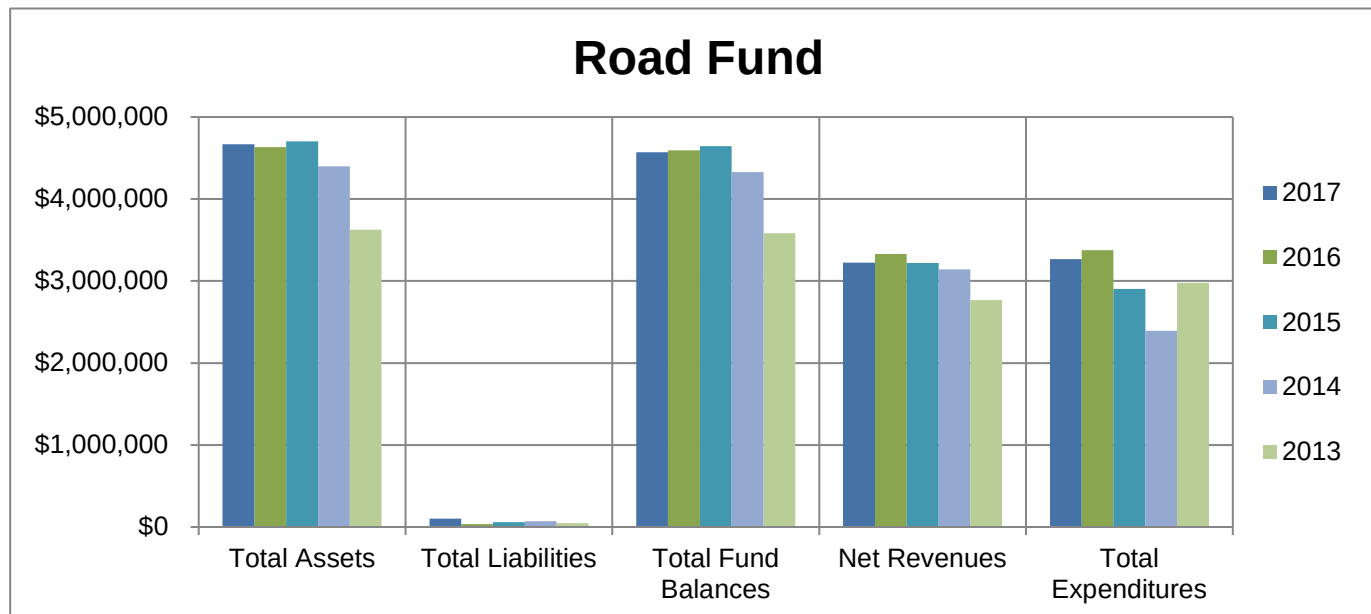
CLARK COUNTY, ARKANSAS
 SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - GENERAL FUND - REGULATORY BASIS
 DECEMBER 31, 2017
 (UNAUDITED)

General	2017	2016	2015	2014	2013
Total Assets	\$ 3,586,334	\$ 3,660,254	\$ 3,716,347	\$ 3,585,598	\$ 3,293,574
Total Liabilities	63,163	165,916	83,521	60,967	109,122
Total Fund Balances	3,523,171	3,494,338	3,632,826	3,524,631	3,184,452
Net Revenues	5,566,107	5,325,003	5,150,737	5,076,316	4,941,614
Total Expenditures	5,462,246	5,412,491	5,000,567	4,736,137	4,449,567
Total Other Financing Sources/Uses	(75,028)	(51,000)	(36,738)		23,597



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - ROAD FUND - REGULATORY BASIS
DECEMBER 31, 2017
(UNAUDITED)

Road	2017	2016	2015	2014	2013
Total Assets	\$ 4,668,454	\$ 4,630,953	\$ 4,701,372	\$ 4,400,341	\$ 3,626,844
Total Liabilities	99,870	36,825	57,947	70,032	45,257
Total Fund Balances	4,568,584	4,594,128	4,643,425	4,330,309	3,581,587
Net Revenues	3,224,933	3,328,224	3,218,336	3,142,664	2,767,584
Total Expenditures	3,268,126	3,377,521	2,905,220	2,393,942	2,979,195
Total Other Financing Sources/Uses	17,649				



CLARK COUNTY, ARKANSAS
 SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - OTHER FUNDS IN THE AGGREGATE - REGULATORY BASIS
 DECEMBER 31, 2017
 (UNAUDITED)

Other Funds in the Aggregate	2017	2016	2015	2014	2013
Total Assets	\$ 4,435,461	\$ 4,274,996	\$ 4,162,072	\$ 4,019,540	\$ 3,904,921
Total Liabilities	1,237,049	1,208,001	1,263,141	1,150,973	1,077,725
Total Fund Balances	3,198,412	3,066,995	2,898,931	2,868,567	2,827,196
Net Revenues	3,016,074	2,954,923	3,081,471	4,152,675	2,849,340
Total Expenditures	1,365,788	1,236,544	1,638,425	2,590,132	1,443,134
Total Other Financing Sources/Uses	(1,518,869)	(1,540,879)	(1,406,205)	(1,521,172)	(1,522,585)

